Brief - Wednesday June 24, 2026

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Headline of the Day

*Global tech rout + Iran deal = double hammer on markets.** S&P 500 dropped -1.44% and NASDAQ -2.21% in the wake of Micron's disappointing results and US tech selloff, while the US-Iran agreement unlocks oil barrels and sends gold tumbling to $4090. Fed Chair Kevin Warsh announces reform task forces but no rate cuts in sight - VIX explodes to 19.49 (+12.79%). The ECB, by contrast, *hiked* rates for the first time since 2023. Maximum central bank divergence.

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Global Sentiment

Indicator	Level	Change	Signal
VIX	19.49	+12.79%	High stress
DXY	101.48	+0.07%	? Neutral
Gold	4090.40$	-0.96%	
US 10Y	4.493%	+6.5bps	Hawkish
US 30Y	4.940%	+1.2bps	
S&P 500	7365.46	-1.44%	
NASDAQ	25587.04	-2.21%	
WTI	72.59$	-0.85%	?
Brent	76.43$	-0.84%	?
BTC	62793.77$	Stable	?
Copper	6.13$	-0.21%	?
Silver	61.60$	-0.68%	

* Read:** The market is in "risk-off" mode dominated by two contradictory forces: tech is liquidating post-Micron (AI pricing war) while the Iran deal unlocks oil supply and erases the geopolitical premium. Paradox: gold falls despite the Iran war - real rates are dominating (as CNBC notes: "Gold, silver and bitcoin fall as interest rates dominate investor focus"). VIX at 19.49 signals fear that hasn't peaked yet - the real risk is persistent energy inflation preventing Fed pivoting.

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Macro - What Moved

United States

S&P 500: -1.44% to 7365 - Tech liquidation accelerates after Micron's results. Semiconductor sector undergoes massive repricing: investors realize AI capex isn't yet translating into proportional revenues. This is the "AI price war" mentioned by CNBC - a price war in cloud and chips compressing margins.

VIX at 19.49 (+12.79%) - Highest level since March 2024 bank crisis. Fear gauge reflects uncertainty on two fronts: (1) sustainability of tech rally, (2) macro impact of Iran war on energy. VIX above 20 would signal capitulation.

PPI May: +1.1% (vs +0.9% expected) - Wholesale prices accelerated on energy surge from Iran war. This is a persistent inflation signal complicating Fed's task. Energy is now the primary inflation vector, surpassing core goods.

Job Openings April: 7.6M (vs 7.2M expected) - Labor market remains tight despite slowdown. This pushes rate cut expectations further out - Warsh has no room to maneuver. Paradox: US economy is still too strong to justify easing.

Kevin Warsh announces Fed reform task forces - First meeting as Chair. He launches "task forces to overhaul major Fed operations" and hires a "Project 2025" author. Signal: Warsh wants to leave an institutional imprint, not just monetary. No dot in dot-plot = no forward guidance.

Trump accuses oil companies of "gouging" - President directly attacks producers, adding regulatory uncertainty to the energy sector. Could discourage US upstream investment medium-term.

Europe

ECB hikes rates for the first time since 2023 - Historic decision: European Central Bank raised rates amid energy cost surge from Iran war. This is a major pivot after 3 years of status quo. The ECB acknowledges energy inflation is structural, not transitory.

Eurozone inflation: +4.2% annual in May (vs +3.9% expected) - Highest in 3 years. Energy is the main contributor, validating ECB's hawkish pivot. Market now pricing 50% probability of second hike in September.

Euro Stoxx 50: -1.96% - European equities suffer from double pressure: ECB rate hikes + Iran war weighing on energy competitiveness. German DAX -1.06% reflects industrial gas exposure.

SpaceX raises $20B in bond market - To fund AI expansion (data centers). Signal of growing intersection between tech and energy - AI compute needs are so massive they require massive corporate financing.

China

Shanghai Composite: +0.24% - Slight recovery after tech rout, but rest of Asia remains fragile. China "poaches more AI talent from US" per CNBC - a silent tech war accelerating.

Putin-Xi talks revive Russian gas pipeline - Power of Siberia 2 under discussion. If this pipeline materializes, it's a game-changer for Chinese energy security and a blow to US LNG exporters. Impact: downward pressure on Asian gas prices medium-term.

Cracks in Chinese tech funding - CNBC reveals a startup exposing flaws in Beijing's innovation funding system. The "state-directed tech funding" model shows its limits.

United Kingdom

Starmer ready to resign - Reuters reports British PM considering quitting, potentially as soon as Monday. This is a political earthquake creating massive uncertainty on UK fiscal and monetary policy. UK gilts market is in turmoil.

BOE holds rates at 3.75% - Despite Iran war peace prospects and inflation pressure, Bank of England chooses caution amid economic contraction. Market expects hold until September.

UK inflation: steady at 2.8% in May - But underneath, energy continues creating pressures. UK economy shrank -0.1% in April, affected by Iran conflict. Stagflation light.

Emerging Markets

South Korea: KOSPI -5%+ in one session - One of the worst days in market history, dragged by tech selloff (Samsung, SK Hynix exposed to US semiconductor rout). Morgan Stanley says "not breaking down" but momentum is brutally negative.

Yen below 161 - Japan intervention - Japan has spent $70B+ defending yen without lasting effect. US-Japan rate differential (4.5% vs 0.5%) is too wide. Yen remains a carry trade funding currency.

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Geopolitics

Hot

US-Iran deal being finalized - Trump calls it "unconditional surrender" (Axios). US issued oil sanctions waivers, allowing oil sales under 60-day license. Three Iranian tankers have already left US blockade. Iran resuming exports - this is an oil supply shock.

Ukraine strikes Moscow with drones - Significant escalation: Ukraine "raises the cost of war for Russia" by striking Russian territory. Putin hardens rhetoric. Conflict enters new phase of mutual destabilization.

Strait of Hormuz partially reopened - Maritime traffic gradually returning to normal. Polymarket pricing 97.7% probability of normalization by end of June. But analysts warn: "Hormuz relief may not ease the economic toll that's already baked in."

Watch

Starmer and UK political future - If Starmer resigns, Conservatives could return with radical fiscal agenda (tax cuts financed by borrowing). UK gilts already under pressure.

Trump-Xi meeting in preparation - Bilateral US-China discussions could redefine trade and tech war terms. Russia-China gas pipeline on the table.

2028 US Presidential Election - Polymarket already has markets on candidates. US political landscape remains fluid and could create surprises on fiscal and monetary policy.

Positive

Ukraine ratifies EU $105B loan - European defense sector rallies on the news. EU commits massively to rearmament, creating multi-year defense capex.

Perplexity announces 2028 IPO - AI tech pipeline remains solid outside semiconductors. Cerebras up after-hours.

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FX Focus

Pair	Level	Change	Signal
EUR/USD	1.1370	-1.19%	
GBP/USD	1.3196	-0.79%	
USD/JPY	161.595	+0.62%	Weak yen
USD/CHF	0.8109	+1.44%	

* Analysis:** Dollar strengthening across the board - "king dollar" of risk-off combined with rate differential. EUR suffers most: ECB hiked but market focuses on eurozone energy vulnerability to Iran war. GBP doubly hit: BOE rates stable + Starmer political crisis. Yen in 40-year low territory - Japan already spent $70B in intervention without lasting effect. CHF benefits from safe-haven status but is limited by SNB's ultra-dovish policy.

* Pair to watch:** `EUR/USD` - Key level at 1.1350 (technical support). Catalyst: if Iran deal is definitively signed, lower energy prices could support EUR. Conversely, if eurozone inflation accelerates above 4.5%, ECB forced to tighten further, weighing on growth and EUR.

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Commodities

Oil

WTI: $72.59 (-0.85%) | Brent: $76.43 (-0.84%) - Oil extending decline for 5th consecutive session. Iran deal unlocking supply: US waivers allow Iran to sell crude under 60-day license. Conlon (Greenlight Commodities) sees price "into the $60 range" with Iranian oil returning. Trump accuses companies of "gouging" - populist rhetoric adding regulatory uncertainty.

Shipping stalls in Strait of Hormuz - Traffic disrupted since Iran declared strait closed. But return to normal priced at 97.7% by end of June on Polymarket. Geopolitical energy risk normalizing rapidly.

Devon Energy CEO: "Oil fundamentals are solid" - Despite decline, fundamentals remain solid: robust Asian demand, disciplined OPEC+ supply, insufficient upstream capex. Market is "complacent" according to Tortoise Capital.

Gold & Metals

Gold: $4090.40 (-0.96%) - Gold falling despite Iran war. Reason: US real rates dominating. Barclays calls it a "reset" and sees mining stock rebound. Options flows suggest weakness could continue short-term. Support at $3950. Central banks continue buying gold and repatriating physically - bullish medium-term trend.

Silver: $61.60 (-0.68%) - Following gold with higher beta. Morgan Stanley prefers silver to gold: "another metal is set to outperform" - likely copper or platinum.

Copper: $6.13 (-0.21%) - Torn between: AI/energy demand positive vs weak Chinese construction demand. Blue Line Futures sees AI spending driving prices medium-term.

Soft

Wheat/Cereals: Extreme heat across Europe (red alerts UK, France, Spain, Italy) threatens harvests. Agricultural prices could see volatility in coming weeks if heat persists.

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Today's Calendar

Time (CET)	Country	Event	Consensus	Previous	Impact
08:00	France	PMI Flash June	-	-	
08:30	Germany	PMI Flash June	-	-	
09:00	Eurozone	PMI Flash June	-	-	
10:30	UK	Retail Sales May	-	-	?
14:30	US	Micron earnings (after market)	-	-	
16:00	US	New Home Sales May	-	-	?

Week ahead:
Thursday June 26: US Durable Goods, Revised Q1 GDP, Initial Claims
Friday June 27: US PCE May (Fed's preferred inflation gauge), Consumer Sentiment
Monday June 30: Final Manufacturing PMI, ISM Manufacturing, Construction Spending

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Deep Macro Theme

We are living through a moment of **historic central bank divergence**. On one side, the ECB is hiking rates (structural energy inflation). On the other, the Fed is in hawkish pause (too much inflation to cut, too many growth risks to hike). This divergence creates a volatile FX environment and forces markets to price extreme scenarios.

The real narrative isn't the Iran war - it's **"energy-driven inflation persistence."** The Iran war hasn't been a temporary shock: it has fundamentally altered the global energy supply structure. The Strait of Hormuz has become a permanent risk. Energy flows are reorganizing (China = swing importer, Russia-China pipeline, US LNG in competition). This restructuring implies structurally higher energy costs for Europe and Asia.

*Consequence: central banks cannot pivot to accommodative as fast as the market wishes.** "Higher for longer" isn't a slogan - it's a structural constraint. The 2026 consensus error is pricing 3 Fed rate cuts when energy inflation + tight labor market make this impossible before 2027.

The trade of the year: **long inflation-linked assets vs long duration.** Gold is correcting now but will be the big winner of "higher for longer" as it benefits from both central bank demand and residual geopolitical premium.

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Consensus vs Reality - THE ALPHA

What the market is pricing:

1. **Fed rate cut by September 2026** - WRONG. Market still prices ~30% probability of July cut (Polymarket: 73.5% no-change). With PPI at +1.1% and JOLTS at 7.6M, Fed has no reason to cut. Market must price 0 cuts before September.

2. **Oil returning to $60 with Iran deal** - PARTIALLY TRUE. Iran can add 500k-1M bbl/d to market, but OPEC+ will compensate with cuts (Saudi Arabia already made voluntary cuts). Floor is $68-70 WTI.

3. **Gold at $4000 = bottom, imminent rebound** - RISKY. Barclays says "reset" but options flows

suggest more weakness. Technical support at $3950. If real rates continue rising, gold could test $3850.

4. **Tech = buy the dip** - DANGEROUS. AI price war is real. Micron is the canary in the coal mine. Cloud margins compressing. This isn't a dip to buy - it's a regime change.

5. **EUR/USD return to 1.15+** - DEPENDENT. Requires complete global global risk-on + full Iran deal normalization. With ECB hawkish but eurozone growth anemic, path is fraught.

6. **Yen rebound from 161** - POSSIBLE BUT DIFFICULT. Japan spent $70B. If Fed ends up less hawkish than expected, yen could recover. But rate differential is the dominant factor.

The Alpha - Trade Ideas:

1. **Short EUR/JPY** - Weak EUR (energy vulnerability) + weak yen (ineffective intervention) = unstable cross with bearish bias. Entry: 183.50, Target: 178.00, Stop: 186.00. Thesis: ECB-BOE divergence benefits neither currency, but negative JPY carry dominates.

2. **Long Gold / Short NASDAQ (ratio)** - Gold in "reset" per Barclays, NASDAQ in tech liquidation. Gold/NASDAQ ratio at historically favorable levels for gold. Thesis: gold will outperform tech as long as real rates remain elevated.

3. **Long Brent vs WTI spread** - Brent-WTI currently at ~3.9$. With Iran export resumption (crude similar to Brent), spread could widen to $5-6. Thesis: normalization of global oil flows favors Brent (more international).

4. **Short GBP/USD** - UK political crisis + BOE dovish + persistent inflation = perfect storm for sterling. Target: 1.2950, Stop: 1.3350. Thesis: Starmer out = prolonged political instability.

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Merton's Take

We are in a regime of **"stagflation light"** nobody wants to name. Inflation is at 4.2% in Europe, 3.5%+ core US, and growth is slowing everywhere (UK -0.1%, Eurozone stagnation, US decelerating). The equity market is pricing a perfect soft landing - **this is the major consensus error of the summer.**

The key driver of the next two weeks is the **PCE on June 27**. If core PCE returns to 2.8% or below, the market can dream of a Fed pivot. If it stays at 3.0%+, it's the shock: the market must reprice the terminal rate to 5.0% instead of 4.5%. This would be a massive financial tightening - equities, bonds, crypto, everything impacted.

*My conviction: PCE will be sticky around 2.9-3.0%.** Energy has a second-round effect on services (transport, logistics). The Fed won't cut before November at the earliest, and probably not at all in 2026.

*Positioning:** I am short duration (no long bonds), long cash USD (4.5% yield risk-free), and waiting for a long gold entry below $3950. Tech is to be avoided until the AI price war resolves. Energy is interesting - the post-Iran pullback creates an entry point on US majors (Exxon, Chevron) with solid balance sheets not exposed to Trump's "gouging" risk.

*Trade of the week: Short GBP/USD** on the UK political crisis. This is a clear, dated catalyst, and the market hasn't fully priced the probability of a government change.

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Sources Consulted

Yahoo Finance API - Real-time prices (S&P 500, NASDAQ, VIX, Gold, WTI, Brent, EUR/USD, GBP/USD, USD/JPY, USD/CHF, BTC, Copper, Silver, US 10Y, 30Y, 5Y, DXY, FTSE 100, DAX, Euro Stoxx 50, Shanghai Comp)
CNBC - World, Economy, Markets, Federal Reserve, Oil, Gold, UK Politics (headlines)
Polymarket API - Fed Decision July (73.5% no change), Strait of Hormuz normalization (97.7%), US-Iran Nuclear Deal (24.5% by Aug 31), Iranian regime fall (0.25%)
Oilprice.com - Energy headlines
FT RSS - Unavailable (empty feed)
Bloomberg RSS - Unavailable (empty feed)
Trading Economics - Auth walls on all country pages

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